No. 19-0918

Supreme Court of the United States

IN RE BACKSTREETS PLOWING, INC., DEBTOR,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

V.

MILTON WEINBERG, RESPONDENT

ON WRIT OF CERTIORARI
TO THE UNITED STATES COURT OF APPEALS
FOR THE THIRTEEN CIRCUIT

BRIEF FOR THE RESPONDENT

30R
Counsel for Respondent

QUESTIONS PRESENTED

1. Whether 11 U.S.C. § 362(a) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date?

2. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code?

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OPINIONS BELOW

The opinion of the court of appeals (Case No. 17-0805) is unreported. The opinion of the Bankruptcy Appellate Panel for Thirteenth Circuit affirming the lower court's judgment is unreported. The opinion of the United States Bankruptcy Court for the District of Moot granting respondent's motion for administrative expenses and denying petitioner's motion for damages und 11 U.S.C. § 362(a)(3) is unreported.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The pertinent provisions of the bankruptcy code are reprinted in the appendix to this brief.

STATEMENT OF FACTS

In the spring of 2015, Christopher "Big Man" Clemons was the operator and sole shareholder of seasonal snow plow business, Backstreets Plowing, Inc. ("The Debtor"). R. at 3. Looking to compete for a lucrative contract with the City of Badlands, Clemons decided to purchase new snow plows. R. at 3-4. Aware that he did not have sufficient funds to make such an expensive purchase, Clemons solicited his acquaintance, Milton Weinberg, for a loan of $450,000, payable to Backstreets Plowing, Inc. R. at 4. Mr. Weinberg agreed on the condition that he receive a security interest in the trucks to guarantee repayment of the loan. R. at 4. Clemons also personally guaranteed the loan. R. at 4. Mr. Weinberg and the Debtor established a monthly payment plan that would take effect once the plowing business started generating revenue in December 2015. R. at 4.

Mr. Weinberg promptly disbursed the loan proceeds, which the Debtor immediately spent on the purchase of new trucks. R. at 4. Shortly thereafter, the Debtor submitted a bid for a contract with the City of Badlands, only allowing himself very small profit margins and minimal room for error. R. at 4. Despite concerns vocalized by several members of the city council regarding the high risk to the Debtor posed by the plan, the city council voted to award the contract to the Debtor. R. at 4.

In October, Mr. Weinberg invited Clemons to a football game between their respective alma maters, knowing that he was a big fan of the sport and hoping to enjoy a friendly rivalry. R. at 4-5. After a weather-plagued game, they got into an argument over the outcome of the game and stopped speaking with each other. R. at 5.

By December, the two men were still not on speaking terms. R. at 5. However, when the first payment to Mr. Weinberg became due, Clemons allowed this argument to sour their

professional relationship and did not make the first three payments, due in December, January, and February respectively. R. at 5. However, Clemons had more than sufficient funds to repay the loan, as it was an unseasonably mild winter in the City of Badlands, and Clemons received flat rate payments from the city regardless of the snowfall. R. at 5. Mr. Weinberg, after giving the Debtor a three-month grace period, reached out to Clemons in February of 2016. R. at 5. After multiple attempts to call Clemons, all of which were ignored, Mr. Weinberg drove to the Debtor's facility. R. at 5. The two men argued, and Clemons had Mr. Weinberg forcibly removed from the premises. R. at 5. Mr. Weinberg subsequently sued the Debtor based on their agreement and Clemons on his personal guarantee in April of 2016, winning a default judgment against both in October. R. at 5. Feeling solicitous after the victory of his alma mater, Mr. Weinberg granted his former friend another grace period, but then began seeking repayment in January 2017, after neither the loan nor the judgment was being fulfilled. R. at 5-6.

During the winter of 2016-2017, Clemons's risky bid backfired, and the season brought heavy snowfall. R. at 6. His flat rate contract no longer covered the cost of operations. R. at 6. Frustrated by the lack of repayment, Mr. Weinberg was forced to hire a repossession company, who successfully repossessed the trucks in January. Following Mr. Weinberg's repossession of the trucks, the Debtor filed a chapter 11 petition for bankruptcy on February 4, 2017. R. at 6. Although the Debtor's attorneys sent Mr. Weinberg a letter demanding the return of the trucks, Mr. Weinberg did not do so. R. at 6. Mr. Weinberg declined to return the vehicles because of his genuine belief that the Debtor had the burden of bringing a turnover action, at which time, Mr. Weinberg could secure some provision of adequate protection of his interest in the snow plow trucks. R. at 6.

The Debtor did not file this motion and instead asks the Court to find that Mr. Weinberg's continued retention of the vehicles - repossessed prepetition - violated the automatic stay under 11 U.S.C. § 362(a). R. at 6.

Further, in March 2017, the Debtor converted its chapter 11 case to a case under chapter 7 of the Bankruptcy Code. R. at 6-7. As mandated by statute, a trustee was appointed to administer and liquidate the estate on April 13, 2017. R. at 7; 11 U.S.C. § 701(a)(1). Just a few weeks after the appointment of the trustee, Mr. Weinberg attempted to begin collection efforts against Clemons related to his personal guarantee. R. at 7. Through those efforts, Mr. Weinberg discovered in May of 2016 that the Debtor had transferred approximately $100,000 in cash to the bank account of Patti Clemons, Christopher Clemons's daughter. R. at 7. Mr. Weinberg promptly notified the trustee and convinced him that the transfers were within his avoidance powers, because they were fraudulent. R. at 7. Based on this information, the trustee filed a complaint against Patti Clemons to avoid and recover the transfers, ultimately winning a settlement of $75,000. R. at 7.

Mr. Weinberg's efforts cost him $25,000 in legal fees, which he petitioned to have recognized as a substantial contribution to the estate, and thus, an administrative expense under 11 U.S.C. § 503(b)(3)(D). R. at 7. Although the trustee acknowledge that Mr. Weinberg had made a substantial contribution to the estate, he argued before the bankruptcy court that administrative expenses for substantial contributions are only permissible in cases under chapters 9 or 11 of the Bankruptcy Code. R. at 7-8.

Mr. Weinberg won both arguments in the bankruptcy court proceeding, and the Bankruptcy Appellate Panel and the Court of Appeals affirmed this judgment. *Id.* at 6-8. While these matters were pending, the trustee received an offer to purchase substantially all of the

Debtor's assets. R. at 8. However, because the trustee could not secure repossession of the trucks, the offer expired, and the trustee accepted a substantially lower offer. R. at 8-9. Through this appeal, the trustee seeks damages to cover the difference between the two offers, as well as damages for the alleged violation of the automatic stay. R. at 9.

SUMMARY OF ARGUMENT

This Court should affirm both holdings of the Thirteenth Circuit decision. Section 362(a)(3) should be read as inapplicable to the continued retention of property that was seized prepetition. Furthermore, section 503(b)(3)(D) should be understood to allow for reimbursement of administrative expenses stemming from substantial contributions to estates with petitions filed under chapter 7, when equitable.

The continued retention of property that was seized prepetition, without any additional action, does not constitute a violation of § 362(a)(3) for three reasons. First, the plain meaning of the statutory provision contemplates affirmative acts. Second, the legislative history of section 362(a)(3) comports with a reading that excludes simply retaining property. Lastly, the inapplicability of § 362(a)(3) to the passive retention of property seized prepetition is not altered by 11 U.S.C. § 542(a).

Section 503(b)(3)(D), which explicitly allows for awarding administrative expenses for substantial contributions to an estate under chapters 9 and 11, should be read to extend to estates under chapter 7 based on its text and the policies underpinning 503(b) and the Bankruptcy Code generally. Because the language of 503(b)(3)(D) is ambiguous as to its applicability to chapter 7 estates, it is necessary to consult the textual canons of statutory interpretation. The presumption against surplusage creates a strong presumption that the list of chapters in 503(b)(3)(D) is non-exclusive, and this presumption is not overcome by any other canon of construction, including

expressio unius or that "the specific governs the general". *Morales v. Trans World Airlines, Inc.*, 504 U.S. 374, 384 (1992). Furthermore, granting administrative expenses in appropriate chapter 7 cases would reflect the equitable principles on which Bankruptcy Courts are based and incentivize actors in these proceedings to protect and expand the assets of these estates.

ARGUMENT

LEGAL STANDARD

On appeal, reviewing courts engage in *de novo* review over the legal determinations of the bankruptcy court. Findings of fact by the bankruptcy court are reviewed under a clear error standard. *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 942 (3d Cir. 1994). The only questions on appeal in this case are questions of law, so this court should engage in plenary review of both.

READING § 362(A)(3) TO EXCLUDE PASSIVE RETENTION ADHERES TO THE PLAIN MEANING OF THE STATUTE

A. The Dictionary Definition of An Act Excludes Passive Retention

As is customary in a statutory interpretation case, our inquiry begins with an examination of the statutory language. *United States v. Ron Pair Enters, Inc.*, 489 U.S. 235, 240-41 (1989). Section 362(a) provides that the filing of a bankruptcy petition:

> Operates as a stay, applicable to all entities of –
> . . .
> (3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate. . . .

11 U.S.C. § 362(a) (1988). Thus, the statute clearly establishes two types of stay violations: (1) *an act* to obtain possession of property of the estate; (2) *an act* to exercise control over property of the estate. Both violations turn on our common understanding of the term *act*, which Black's Law Dictionary defines as "the process of doing something or performing." BLACK'S LAW DICTIONARY 27 (9th ed. 2009). As the term *act* is neither a term of art nor expressly defined elsewhere in the statute, the Court should defer to the term's ordinary meaning in this instance.

See Asgrow Seed Co. v. Winterboer, 513 U.S. 179, 187 (1995). It is clear from the text that the mere passive retention of property does not constitute "doing something" within our understanding of the term *act*. In fact, the mere failure to return property is more likely understood as a *failure to act*, rather than an action in and of itself.

This general understanding is further supported by the syntactic construction of the provision, which prohibits *an act.* The use of *act* in singular noun form signifies that the statute contemplates a single, definite, positive act, that presumably occurs at a definite time either within or without the 30-day period allotted in section 547(e)(2)(A). The continued retention of property that was repossessed prepetition does not satisfy this definition. *See*, *e.g.*, *In re Peake*, 588 B.R. 811, 829 (Bankr. N.D. Ill. 2018). Retaining property constitutes a state of continued inaction that does not qualify as a post-petition "act" by the non-debtor party. Absent such an act, no stay violation exists. *WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 949 (10th Cir. 2017); *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991).

B. The Statute's Plain Meaning Demonstrates Clear Congressional Intent

It is a fundamental assumption of statutory interpretation that the Court is to, "presume that a legislature says in a statute what it means and means in a statute what it says there." *Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253 (1992); *see, e.g.*, *United States v. Ron Pair Enterprises*, 489 U.S. 235, 241-42 (1989); *United States v. Goldenberg*, 168 U.S. 95, 102-03 (1897). This presumption is bolstered by our understanding that should Congress have intended to prohibit the continued possession of property, it could have explicitly said so. In fact, other provisions of the Bankruptcy Code do clearly prohibit such conduct. 11 U.S.C. § 521(a)(6), for example, states, "a debtor in certain circumstances 'shall…not retain possession of [certain] personal property' unless the debtor takes certain actions." *In re Hall*, 502 B.R. 650, 664 (Bankr.

D.D.C. 2014) (citing *In re Young*, 193 B.R. 620, 624-25 (Bankr. D.C. 1996). These provisions demonstrate Congress's intended purpose of § 362(a)(3), which, taken in context with the remaining provisions of the Bankruptcy Code, cannot be read to encompass passive conduct. This is because Congress intentionally chose not to explicitly prohibit the retention of property in section 362(a)(3), as such conduct is not in fact "an act to exercise control." *Cf. United States v. Hayes*, 555 U.S. 415, 421-22 (2009) ("Had Congress meant to make the latter [the existence of a domestic relationship between the offender and victim] as well as the former [the use or attempted use of physical force, or threatened use of a deadly weapon] an element of the predicate offense, it likely would have used the plural 'elements,' as it has done in other offense-defining provisions."). Where the statutory language is clear, as it is in this instance, the sole purpose of the judiciary is to enforce the statute according to its terms. *See Caminetti v. United States*, 242 U.S. 470, 485 (1917); *See also Conn. Nat'l Bank*, 503 U.S. at 253-54 ("[W]hen the words of a statute are unambiguous, then the first canon is also the last: 'judicial inquiry is complete.'" (citing *Rubin v. United States*, 449 U.S. 424, 430 (1981))).

C. Circuits that Read § 362(a)(3) as a Prohibition of the Retention of Property Misconstrue Fundamental Tools of Statutory Interpretation

The circuits that read the provision as a prohibition of the passive retention of property rely on a reading that emphasizes the phrase "exercising control." *See Thompson v. GMAC, LLC*, 566 F.3d 699, 702 (7th Cir. 2009) (citing the definition of "control" from MERRIAM-WEBSTER'S COLLEGIATE DICTIONARY (11th Ed. 2003)); *Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 79 (2d Cir. 2013) (consulting the definition of "control" in WEBSTER'S NEW WORLD COLLEGE DICTIONARY (4th ed. 2002)); *Transouth Fin. Corp. v. Sharon (In re Sharon)*, 234 B.R. 676, 682 (B.A.P. 6th Cir. 1999) (finding that withholding possession of property constitutes "exercising

control" over possession). However, this reading of the statute eliminates the essential phrase *an act* from the linguistic analysis.

The canon against surplusage appropriately forecloses such a reading, as the preferable reading already gives effect to every word of the statute. *See Microsoft Corp. v. i4i Ltd. P'ship*, 564 U.S. 91, 106 (2011). By reading the operative phrase as *exercising control* – rather than *an act to exercise control* – the majority of the circuits interpret *exercising control* as the violation, rather than *an act* designed to exercise control. This is plainly not what the text says. By erasing the word *act* from the provision, the majority of circuits impermissibly broaden the statute beyond its intended purpose. *Cf. Yates v. United States*, 135 S. Ct. 1074, 1085 (2015) ("[W]e rely on the principle of *noscitur a sociis* – a word is known by the company it keeps – to 'avoid ascribing to one word a meaning so broad that it is inconsistent with its accompanying words, thus giving unintended breadth to the Acts of Congress.'" (citing *Gustafson v. Alloyd Co.*, 513 U.S. 561, 575 (1995))). The majority's reading elevates the phrase *exercising control* beyond its intended place: as one of two possible types of actions that violate section 362(a)(2).

THE LEGISLATIVE HISTORY OF § 362(A)(3) SUGGESTS THAT THE RETENTION OF PROPERTY IS NOT AN ACT

A. The 1984 Amendment of § 362(a)(3) was Intended to Distinguish Between Possessory and Non-possessory Conduct

As discussed above, the language of § 362(a)(2) is clear. While a court may consult a statute's legislative history in order to resolve linguistic ambiguity, the clarity of the statutory language here obviates the need for any such inquiry. *See Toibb v. Radloff*, 501 U.S. 157, 162 (1991). Regardless, should the Court choose to refer to the legislative history of the statute, the result supports the plain reading of the statutory text: the passive retention of property is not considered an act within the meaning of § 362(a)(3).

The legislative history reveals that section 362(a)(3), which was enacted as part of the Bankruptcy Reform Act of 1978, was intended to prevent a fracturing of the estate and to ensure its orderly distribution. *See Securities and Exch. Comm. v. First Fin. Group of Tex.*, 645 F.2d 429, 439 (5th Cir. 1981). The originally enacted version of the statute suggested a distinction between possessory and non-possessory action, despite never clearly addressing non-possessory "control" in the statutory language. Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is Exercising Control Over What?*, 33 BANKR. L. LETTER 9, Sept. 2013, at 3 (hereinafter "Brubaker, *Part II*"). In 1984, the statute was amended to include the word "control," further signaling the drafters' intent to distinguish "the newly prohibited 'control'" from the "already-prohibited acts to obtain 'possession'" so as to cover non-possessory conduct that nonetheless interferes with the estate's authority over a specific property interest. *Id.* at 3. An act intended to affect control of property may be tantamount to attaining possession and produce the same effect. *Beker Indus. Corp. v. Fla. Land and Water Adjudicatory Comm'n (In re Beker Indus. Corp.)*, 57 B.R. 611, 626 (Bankr. S.D.N.Y. 1986).

There are a variety of situations in which a party may "act to exercise control" but not "to obtain possession of" the estate's property. For example, a creditor in possession of property may choose to improperly sell property belonging to the estate. *See In re Cowen*, 849 F.3d at 950. Similarly, the statutory amendment covers conduct involving the "exercising control of intangible property rights that belong to the estate, such as contract rights or causes of action." *In re Hall*, 502 B.R. at 665. Without proper reification, these rights are incapable of repossession. *Id.* Section 362(a)(3) preserves these rights and guards against interference by prohibiting any act to exercise control over estate property. Thus, § 362(a)(3) was "tightened" to comprehensively protect the estate. *In re Beker Indus. Corp.*, 57 B.R. at 626.

Indeed, if Congress had intended to add an affirmative obligation – to the automatic *stay* provision, rather than the *turnover* provision, no less – to turn over any property possessed by the estate, it would have said so explicitly. *In re Cowen*, 849 F.3d at 950; *see also Whitman v. Am. Trucking Ass'ns, Inc.*, 531 U.S. 457, 468 (2001) ("Congress, we have held, does not alter the fundamental details of a regulatory scheme in vague terms or ancillary provisions – it does not, one might say, hide elephants in mouseholes."). Nothing in the statutory text or its legislative history supports such a reading of the statute. *See In re Cowen*, 849 F.3d at 950. Accordingly, out of respect for the fundamental principle of separation of powers, this Court should respect the plain reading of the statute and its intended aims. *See King v. Burwell*, 135 S. Ct. 2480, 2496 (2015) ("In a democracy, the power to make the law rests with those chosen by the people. Our role is more confined – 'to say what the law is.'" (citing *Marbury v. Madison*, 5 U.S. 137 (1803))). The law plainly prohibits actions intended to exercise control of the estate's property, and it simply does not extend to the passive retention of property that was repossessed prepetition.

B. The Majority Interpretation is not Supported by the Legislative History of the 1984 Amendments

The majority of circuits that interpret § 362(a)(3) as a prohibition on the retention of property perceive the amended provision as a correlative enhancement of the estate's turnover rights pursuant to § 542(a). Brubaker, *Part II*, at 1; *See also In re Weber*, 719 F.3d at 80 (discussing the 1984 Amendments as a "significant textual enlargement" of the automatic stay). However, there is no assertion that Congress actually intended for these amendments to have such an effect. *See In re Young*, 193 B.R. 620, 623 (Bankr. D.C. 1996); *see also In re Bernstein*, 252 B.R. 846, 853-54 (Bankr. D.C. 2000) (noting that Congress is silent on whether section 362(a)(3) was designed to displace section 542(a) as the operative provision with respect to

questions of turnover resulting from the unlawful possession of property). In fact, where courts have adopted this reading, it appears as though the amendment itself is interpreted as a signal of Congress's desire to effectuate an automatic turnover provision. *See Thompson v. GMAC, LLC*, 566 F.3d 699, 702 (7th Cir. 2009) ("[T]he mere fact that Congress expanded the provision to prohibit conduct above and beyond obtaining possession of an asset suggests that it intended to include conduct by creditors who seized an asset pre-petition.").

However, this desire to broaden the protective measures of § 362(a)(3) overlooks the basic principle that, unless there is clearly expressed legislative intent that runs contrary to the plain meaning of the statute, the legislation's plain meaning is the conclusive interpretation. *See Consumer Product Comm'n v. GTE Sylvania, Inc.*, 447 U.S. 102, 108 (1980); *see also United States v. Ron Pair Enters.*, 489 U.S. 235, 242 (1989) ("[T]he plain meaning of legislation should be conclusive, except in the 'rare cases [in which] the literal application of a statute will produce a result demonstrably at odds with the intentions of its drafters.'" (citing *Griffin v. Oceanic Contractors, Inc.*, 458 U.S. 564, 571 (1982))).

C. In the Absence of Clear Congressional Intent, this Court Should Respect *Stare Decisis*

This basic principle is bolstered by this Court's presumption of continuity in the law and the preservation of established practice, in the absence of a clear statutory directive or an unambiguous showing of legislative intent to break from precedent.

> When Congress amends the bankruptcy laws, it does not write "on a clean slate." Furthermore, this Court has been reluctant to accept arguments that would interpret the Code, however vague the particular language under consideration might be, to effect a major change in pre-Code practice that is not the subject of at least some discussion in the legislative history.

Dewsnup v. Timm, 502 U.S. 410, 419 (1992) (citations omitted); *See also Cohen v. de la Cruz*, 523 U.S. 213, 221 (1998).

While some majority courts maintain that their interpretation does not reflect a major change from pre-1984 practice, *Thompson*, 566 F.3d at 705-06, there have been no cases cited pre-1984 holding that a creditor's retention of property lawfully repossessed pre-petition constitutes contemptuous conduct in the absence of a turnover order.[1] Given the lack of caselaw supporting the majority interpretation, a sweeping expansion of section 362(a)(2) can only be perceived as a radical departure from established precedent. In fact, other circuits have observed that, before 1984, bankruptcy courts uniformly followed the practice of allowing a secured creditor to insist upon adequate protection as a condition precedent to the turnover of repossessed property, as the property cannot be used, sold, or leased under section 363 without it. *Young*, 193 B.R. at 626.

Furthermore, the majority interpretation requires that any party acting in resistance to the debtor's view of its rights has violated the automatic stay, even if that party acts in error. *See Inslaw*, 932 F.2d at 1473. A willful violation of the stay exposes the acting party to liability for compensatory damages, costs, attorney's fees, and even punitive damages. 11 U.S.C. § 362(k)(1) (1988). It is implausible that Congress would have desired to establish an unbounded notion of what it means to "exercise control," given the breadth of the notion of "property of the estate," which includes any type of "interest" that the debtor possesses in any type of tangible or intangible property. Brubaker, *Part II*, at 1. The unrestrained nature of the majority's interpretation, paired with the myriad of consequences resulting from such a broadly interpreted violation, are a strong indicator of the fact that Congress would have expressed its intent to make

[1] In *Thompson*, the appellate court's reasoning that, "at a minimum, it appears that bankruptcy courts approved of differing practices concerning adequate protection," before 1984, relies upon two cases who analysis is inapposite to the Court's argument. *Thompson*, 566 F.3d at 706 (quoting *In re Sharon*, 200 B.R. 181, 190 (Bankr. S.D. Ohio 1996), *aff'd* 234 B.R. 676 (B.A.P. 6th Cir. 1999)). In one case, the bankruptcy court entered a turnover order without the necessity of adequate protection, because any security interest the offending party had was unperfected and therefore invalid in bankruptcy. *In re R. Purbeck & Associates, Ltd.*, 12 B.R. 406 (Bankr. D. Conn. 1981). In the second case, the creditor's refusal to return property repossessed *post-petition* constituted a violation of the automatic stay. *See Matter of Endres*, 12 B.R. 404 (Bankr. E.D. Wis. 1981).

such a radical change to established turnover practice. In the absence of a clear statutory directive or congressional indication that such a drastic departure was the intended outcome of an otherwise modest textual amendment, the Court should adhere to the plain meaning of the statute, which respects the continuity of precedent.

THE INAPPLICABILITY OF § 362(A)(3) TO THE CONTINUED RETENTION OF PROPERTY IS NOT ALTERED BY 11 U.S.C. § 542(A)

A. Section 362(a) Must Be Read in Conjunction with 542(a) to Avoid Absurd Results

In order to illustrate the primary purpose of section 362(a)(3), it is essential to examine the link between this provision and section 542(a). *See United Sav. Ass'n of Texas v. Timbers of Inwood Forest Assocs., Ltd.*, 484 U.S. 365, 371 (1988) (observing that statutory construction is a "holistic endeavor," in which a provision that seems "ambiguous in isolation is often clarified by the remainder of the statutory scheme," because only one permissible meaning produces "a substantive effect that is compatible with the rest of the law.").

Section 542(a) provides that:

> an entity . . . in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 552 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless the property is of inconsequential value or benefit to the estate.

11 U.S.C. § 542(a) (1994). In contrast to the automatic stay provision of section 362(a), section 542(a) does not state that it is to operate as an order, and consequently, does not provide the ability to impose sanctions. *See In re Hall*, 502 B.R. at 655. Furthermore, the provision is subject on its face to defenses, and provides an additional defense against a turnover order given a lack of adequate protection. 11 U.S.C. § 542(a). Courts have observed that the turnover provisions were enacted to enable the trustee to recover property that "was merely out of the possession of

the debtor, yet remained property of the debtor." *Inslaw*, 932 F.2d at 1471 (citations omitted); *see also Whiting Pools*, 462 U.S. 198, 204-09 (1983).

The turnover provision must be reconciled with the stay provision of § 362(a)(3) in order to avoid absurd results. This is because, as explained below, §542(a) is not self-effectuating. *In re Bernstein*, 252 B.R. at 849; *In re Hall*, 502 B.R. at 654-56. Given this fact, it is implausible that Congress would indirectly impose a self-executing turnover obligation via section 362(a)(3) that ultimately exceeds the scope of the turnover provision in section 542(a). Brubaker, *Part II*, at 8. For example, should the majority interpretation of section 362(a)(2) prevail, it would lead to absurd consequences whenever a turnover is not required under § 542(a) (such as, when the creditor appropriately establishes a defense under § 542(a) that the property is of inconsequential value or benefit to the estate or that its lien is not adequately protected). The failure to have surrendered the property to the trustee would constitute a violation. *See In re Hall*, 502 B.R. at 666; *see also* Brubaker, *Part II* at 4. Such a reading cannot be reconciled with the plain reading of the statute or with longstanding established practice.

B. On its Face, § 542(a) Does Not Require Turnover Without Condition and Therefore is Not Self-Executing

The majority interpretation reasons that section 362(a)(3)'s prohibition on the passive retention of property is consistent with section 542(a), because section 542(a) is self-effectuating "without condition." *Weber*, 719 F.3d at 79; *see also Thompson*, 566 F.3d at 708 (finding that the creditor must first return an asset in which the debtor has an interest to his estate and then seek adequate protection). However, there are several facial limitations to § 542(a), which all strongly suggest that the provision is not self-executing.

First, section 542(a) provides that the creditor is entitled to raise any defenses to turnover before being compelled to do so. *See In re Bernstein*, 252 B.R. at 850. The majority

interpretation would essentially turn § 542(a) into a self-executing turnover provision, which requires no adequate protection and provides no turnover defenses. Brubaker, *Part II*, at 7. This reading would destroy the creditor's right to adequate protection and render the "explicit limitations on the reach of § 542(a)" completely superfluous. *Whiting Pools*, 462 U.S. at 206. As stated in *Citizens Bank of Maryland v. Strumpf*, 516 U.S. 16, 20 (1995) (citation omitted), "[i]t is an elementary rule of construction that 'the act cannot be held to destroy itself.'" *See also In re Bernstein*, 252 B.R. at 851 (reasoning that provisions 362(a)(3) and 542(a) no more destroy the right to demand adequate protection as a condition to turnover than did section 362(a) destroy the right of setoff in *Strumpf*, 516 U.S. at 21). Even in the Eighth Circuit – despite the appellate decision in *Knaus v. Concordia Lumber Co. (In re Knaus)*, 889 F.2d 773 (8th Cir. 1989) – the Bankruptcy Appellate Panel has recognized that a secured creditor whose turnover will in and of itself destroy its possessory rights, is entitled to refuse to surrender possession, despite § 542(a), pending adequate protection. *N. Am. Banking Co. v. Leonard (In re WEB2B Payment Solutions, Inc.)*, 488 B.R. 387, 383 (B.A.P. 8th Cir. 2013).

Second, § 363(e) provides that:

> at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leaded, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest.

11 U.S.C. § 363(e) (2010). This provision clearly indicates that the bankruptcy court will adjudicate all defenses that the creditor raises to turnover, including any defense that the creditor asserts a lien and requests adequate protection of that lien under 11 U.S.C. § 363(e). *In re Bernstein*, 252 B.R. at 850. Where the creditor is at risk of having the lien destroyed if its collateral were to be surrendered to the trustee without a provision for adequate protection, the

creditor should be able to raise a defense against turnover on the basis of lack of adequate protection *before* being compelled to surrender collateral. *Id.*

Furthermore, a turnover claim is an equitable claim, *Burtch v. Ganz (In re Mushroom Transp. Co.)*, 382 F.3d 325, 337 (3d Cir. 2004), and in consideration of equitable defenses, the court may choose to deny turnover. *See In re Hall*, 502 B.R. at 662-63; *see also In re Kabler*, 230 B.R. 525, 526 (Bankr. E.D.N.C. 1999) (balancing equities in declining to enter a turnover order).

These clear limitations to § 542(a) demonstrate that the provision was not written to be enforced "without condition," as the majority interpretation asserts, *Weber*, 719 F.3d at 79. If a party raises any of these defenses to entry of a turnover order, and the court rejects the argument, the party should not be held in contempt for having done so. *See In re Hall*, 502 B.R. at 653; *In re Bernstein*, 252 B.R. at 850.

C. Interpreting § 542(a) as Self-Executing Tasks Parties in Possession of Property With Choosing Between Being Held in Contempt and Abandoning Adequate Protection

If section 542(a) is held to be self-executing, a party in possession of property validly repossessed prepetition must decide between being held in contempt of the bankruptcy court or abandoning adequate protection of such property. Section 542(a) would immediately expose the party to potential sanctions for violation of the stay, regardless of the party's defenses. 11 U.S.C. § 362(k)(1); *see Inslaw*, 932 F.2d at 1473. Such a reading of 542(a) would also eviscerate the Code's procedural safeguard under 11 U.S.C. § 507(b) that ensures the obligation of adequate protection. Given that the Code already provides the debtor with statutory protections, converting section 542(a) in a self-effectuating provision is both detrimental to the overall efficacy of the Code and unnecessarily converts section 362 into a provision that enforces turnover.

Under the view that § 542(a) is self-executing, a creditor in possession of property might submit to the trustee's demand for turnover rather than incurring the expense of a contempt proceeding and assuming the risk that the bankruptcy court might mistakenly reject its valid defense of ownership by holding it to have been in contempt. *In re Hall*, 502 B.R. at 663; *see also* Brubaker, *Part II*, at 7 (observing that a secured creditor's desire to delay turnover long enough to preserve the right to receive the "indubitable equivalent" mandated by the Code does not suggest such conduct should be considered sanctionable contempt). Such a reading could deter creditors with valid or non-frivolous defenses to turnover under § 542(a) by the threat of contempt for raising defenses, and would result in "the equivalent of throwing out the baby (defenses that pass muster under Rule 9011) with the dirty bath water (defenses that do not pass muster under Rule 9011)." *In re Hall*, 502 B.R. at 663.

Furthermore, 11 U.S.C. § 507(b) provides that in the event that some provision for adequate protection is made, and this protection has proven to be inadequate, it is possible raise an administrative claim against the estate. Section 507(b) grants superiority status to such a claim. *In re Bernstein*, 252 B.R. at 850. However, if section 542(a) were to be self-effectuating, no turnover order would be necessary, and the trustee would not be obligated to provide adequate protection. Such an interpretation would render § 507(b) "unavailable" to protect the creditor who surrenders property without any provision of adequate protection because of the court's view that § 542(a) is self-executing. *Id.*

Lastly, contrary to one argument for the majority interpretation, section 362 is not necessary to enforce the turnover of property to the estate. *Contra Abrams v. Sw. Leasing & Rental, Inc. (In re Abrams)*, 127 B.R. 239, 242-43 (B.A.P. 9th Cir. 1991); *see In re Cowen*, 849 F.3d at 950 (observing that bankruptcy courts have broad equity powers under § 105(a)). Any

frivolous or bad faith assertion of a defense to turnover may be addressed under Federal Rule of Bankruptcy Procedure 9011. *In re Hall*, 502 B.R. at 663.

D. Section 542(a) Codified the Practice of Entering an Order to Direct Turnover

Whereas the majority interpretation has relied on an overly broad interpretation of this Court's decision in *Whiting Pools*, the appropriate interpretation more closely adheres to this Court's analysis and its established precedent. This Court has observed in *Whiting Pools* that section 542(a) should be interpreted in a manner that is consistent with legal precedent predating the Bankruptcy Code. *Whiting Pools*, 462 U.S. at 208. In recognition of this longstanding practice, the Court examined prior cases in which the bankruptcy court ordered the turnover of property in possession of a secured creditor, and noted that nothing in the legislative history of 542(a)'s enactment suggests a congressional intent to depart from established precedent. *Id.* Furthermore, the Court expressly approved of Judge Friendly's thorough analysis of the legislative history of § 542(a). *Whiting Pools*, 462 U.S. at 207 n.16 ("[W]e find Judge Friendly's careful analysis of this history for the Court of Appeals to be unassailable."); in his conclusion, Judge Friendly found that the most "natural reading of § 542 is that it was intended to codify *RFC v. Kaplan*," which was representative of the pre-Code practice in which the bankruptcy court could enter a turnover order of collateral in the hands of a secured creditor. *United States v. Whiting Pools, Inc.*, 674 F.2d 144, 155 (2d Cir. 1982).

In addition to approving of historical practice, this Court specifically highlighted that one of the most prominent among the "explicit limitations on the reach of § 542(a)" is that "the property be usable under § 363." *Whiting Pools*, 462 U.S. at 206 n.12. Indeed, as lower courts have observed, bankruptcy court order at issue in *Whiting Pools* constituted a turnover order *conditioned on the provision of adequate protection*. *See In re Bernstein*, 252 B.R. at 849.

Though the Court did not reach the issue of whether section 542(a) is self-executing, its decision certainly did not depart from the established practice of requiring a turnover order when a creditor demands adequate protection of its interest in property repossessed prepetition. *Young*, 193 B.R. at 622 n.3 & 626.

E. *Whiting Pools* Does Not Alter the Property Interests of the Estate Under § 541(a)(1)

The majority interpretation erroneously concludes that the Court in *Whiting Pools* intended to suggest that the "possessory interest" in the seized property enters the estate via section 541(a)(1). *In re Sharon*, 234 B.R. at 682 ("In *Whiting Pools* the Supreme Court suggested... that property recoverable under other provisions of the Bankruptcy Code, such as §§ 543. . ., 547 . . ., and 548 . . . , is property of the estate under § 541(a)(1)"). However, even a cursory reading of § 541(a) reveals that the bankruptcy estate is not limited to interests held by the debtor at the commencement of the case. *See Barringer v. EAB Leasing (In re Barringer)*, 244 B.R. 402, 406 (Bankr. E.D. Mich. 1999) (observing that the principle purpose of sub-paragraphs (3) and (7) is to bring other interests into the estate); *see also* Brubaker, *Part II*, at 6. Furthermore, the Court itself contradicts this assumption, because the plain language of § 541(a)(1) does not and cannot "grant[] to the estate a possessory interest… that was not held by the debtor at the commencement of the" bankruptcy case (thus explaining why 542(a) must be applied). *See Whiting Pools*, 462 U.S. at 207 & n.15.

While the majority interpretation is correct that "[w]ithholding possession of property from a bankruptcy estate is the essence of 'exercising control' *over possession*," *In re Sharon*, 234 B.R. at 682, such an exercise of control *over possession* constitutes a violation of § 362(a)(3) only if possession is property of the estate. Rather, possession becomes "property of the estate" under section 541(a)(7) only to the extent that a successful turnover order is issued pursuant to

section 542(a), which, as previously discussed, clearly contemplates the initiation of a turnover action, during which time, the possessing party can raise any defenses turnover provided by section 542(a). *See* Brubaker, *Part II*, at 5; *see In re Barringer*, 244 B.R. at 407 (observing that "the trustee's rights under § 542(a) are not simply 'inherited' from the debtor, but must instead be affirmatively exercised").

For these reasons, the majority interpretation erroneously concludes that a possessory interest in the seized property enters the estate via § 541(a)(1), and this Court's decision in *Whiting Pools* has not altered this provision.

§ 503(B)(3)(D)'S PLAIN MEANING ALLOWS FOR CHAPTER 7 EXPENSES

Mr. Weinberg seeks compensation for the legal fees he incurred while pursuing and successfully investigating Petitioner's fraudulent transfers. Under some circumstances, legal fees can be granted as an "administrative expense." 11 U.S.C. § 503(b) (2018).

The circuits that have considered distribution of administrative expenses agree that the party claiming an expense has the burden of proving the claim falls within the statutory requirements. *Suplee v. Bethlehem Steel Corp. (In re Bethlehem Steel Corp.)*, 479 F.3d 167, 173 (2d Cir. 2007); *Microsoft Corp. v. DAK Indus., Inc. (In re DAK Indus., Inc.)*, 66 F.3d 1091, 1094 (9th Cir. 1995); *Woburn Assocs. v. Kahn (In re Hemingway Transp. Inc.)* 954 F.2d 1, 5 (1st Cir. 1992); *Emp. Transfer Corp. v. Grigsby (In re White Motor Corp.)*, 831 F.2d 106, 110 (6th Cir. 1987). To qualify as an administrative expense, Mr. Weinberg must show that his claim meets the requirements of § 503(b)(3)(D), which provides in relevant part:

> (b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—
> …
> (3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—
>
> …

> (D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

§ 503(b)(3)(D).

A. The Bankruptcy Code's Rules of Construction Instruct that 503(b)'s Subdivisions Are Non-Exclusive

Mr. Weinberg's petition for administrative expenses can only survive if the Court finds that the facts of this case are contemplated by and within the meaning of the subsection. As described above, to determine the meaning of a statute, courts must begin with "the language of the statute itself." *United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 241 (1989). When available, statutory definitions control this exercise. *See Stenberg v. Carhart*, 530 U.S. 914, 942 (2000) ("When a statute includes an explicit definition, we must follow that definition, even if it varies from that term's ordinary meaning.") If no statutory definition is given, courts must then look first to the ordinary meaning of the phrases of the statute. *Morales v. Trans World Airlines, Inc.*, 504 U.S. 374, 382 (1992) ("[W]e accordingly 'begin with the language employed by Congress and the assumption that the ordinary meaning of that language accurately expresses the legislative purpose.'" (quoting *FMC Corp. v. Holliday*, 498 U.S. 52, 57 (1990))). This is true within the bankruptcy context. *Ron Pair Enters., Inc.*, 489 U.S. at 24.

Of the contested words used in § 503(b) and its subdivisions, Congress only specifically defined the construction of "including," 11 U.S.C. § 102(3) (2018) ("Rules of Construction"). Here, Congress wrote that within the Bankruptcy Code, "'includes' and 'including' are not limiting." *Id.* Because "including" was placed in the introductory provision § 503(b), the Bankruptcy Code itself dictates that the subdivisions that follow must be read as a non-exhaustive list. The courts that have considered the intersection of §102(3) and § 503(b)(3)(d) have overwhelmingly reached this conclusion. *Mediofactoring v. McDermott (In re Connolly N.*

Am., LLC), 802 F.3d 810 (6th Cir. 2015); *In re Javed*, 592 B.R. 615 (Bankr. D. Md. 2018); *In re Maust Transport, Inc.*, 589 B.R. 887 (Bankr. W.D. Wash. 2018); *In re Health Trio, Inc.*, 584 B.R. 342 (Bankr. D. Colo. 2018); *In re Engler*, 500 B.R. 163 (Bankr. M.D. Fla. 2013).

By contrast, most of those courts that have found the plain meaning excluded substantial contributions to cases under chapter 7 did not consider the role of "including" or the mandate of § 102(3). *In re Lloyd Securities, Inc.*, 75 F.3d 853 (3d Cir. 1996); *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937 (3d Cir. 1994); *In re Fesco Plastics Corp., Inc.*, 996 F.2d 152, 157 n.5 (7th Cir. 1993); *Mosier v. Kupetz* (*In re Educ. and Software)*, No. CC–05–1067–MaMeP, 2005 WL 6960237 at *5 (BAP 9th Cir. 2005).

Instead of looking to Congress' express rules of construction, these courts have errantly reached the conclusion that because the statute specifically mentions reimbursement in cases under chapters 9 and 11, but does not mention chapter 7, the plain meaning of 503(b)(3)(D) excludes chapter 7. *See, e.g.*, *Lloyd Securities, Inc.*, 75 F.3d at 957 ("Unfortunately for appellants, § 503(b)(3)(D), by its terms, applies only to chapter 9 and 11 bankruptcy cases . . ."); *Lebron*, 27 F.3d at 945 ("Where, as here, a chapter 11 proceeding is converted into a chapter 7 proceeding, we do not see how expenses incurred after the conversion can be said to have made a substantial contribution in the proceedings under chapter 11"). These courts have interpreted the inclusion of chapter 9 and 11 as proof that Congress knew how to create an administrative expense and could have done so for chapter 7. *See e.g.*, *In re Hackney*, 351 B.R. 178, 201 (Bankr. N.D. Ala. 2006) ("Congress knew how to create a 'substantial contribution' administrative expense for cases it believed were appropriate for that benefit. It did that in section 503(b)(3)(D) for Chapter 9 and Chapter 11 cases. It could have done the same in Chapter 7 cases."). However, by the same logic, Congress knows how to write in limitations and it chose

not to write a limit into § 503(b)(3)(D). In fact, Congress did just this in another subsection of § 503(b), when it granted administrative expenses for any tax "incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title." 11 U.S.C. § 503(b)(1)(B) (2019).

Therefore, without an explicit exception for chapter 7 cases, it cannot be argued that the plain meaning of § 503(b)(3)(D) requires the exclusion of chapter 7 cases. The statute is merely silent on awards in those cases. However, silence on a topic cannot have a plain meaning. It provides no statutory reference, no term of art, nor a word that can be traced back to any dictionary. *See generally, Asgrow Seed Co. v. Winterboer*, 513 U.S. 179, 187 (1995). It is simply silence.[2] Moreover, the statutorily required constructions of "including" and "or" that by their plain meaning construe 503(b)(3)(D) as a non-exhaustive list of circumstances in which administrative expenses may be granted. 11 U.S.C. § 102(3) and (5). Thus, it is more consistent with the plain meaning of the statute to not read unwritten exclusions into its language.

B. Respondent Meets All Other Requirements of 503(b)(3)(D)

Mr. Weinberg clearly meets each of the other stator requirements. His case is not barred by 11 U.S.C. § 502(f) (2018), which only applies in involuntary cases, and legal fees are explicitly allowed under paragraph (4) of this subsection. 11 U.S.C.A. § 503(b)(4) (2018). Furthermore, Mr. Weinberg is also a creditor of Backstreet Plowing, Inc., satisfying the first element of subsection (D). R. at 4. Finally, the parties do not dispute that this qualifies as a substantial contribution. R. at 17.

[2] In *Chevron, U.S.A., Inc.*, the court explicitly found that the congressional silence over the definition of a "secondary source" created sufficient ambiguity to trigger deference to an administrative agency. *Chevron, U.S.A., Inc. v. Nat. Res. Def. Council, Inc.*, 467 U.S. 837, 863 (1984).

THE TEXTUAL CANONS OF CONSTRUCTION SUPPORTS RESPONDENT'S INERPRETATION

In the alternative, should this Court find that 503(b)(3)(D)'s meaning is ambiguous, respondent argues that the canons of textual interpretation support reading 503(b)(3)(D) as a non-exclusive provision. According to this court, the canons of construction aid courts "in ascertaining the intent of the [l]egislature" when there is sufficient ambiguity to warrant such aid. *See Hassett v. Welch*, 303 U.S. 303, 313-14 (1938). The 6th Circuit reached this conclusion in its decision in *Connolly. Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 816 (6th Cir. 2015). After dedicating substantial analysis to § 503(b)'s use of the word "including" and silence on the inclusion or exclusion of chapter 7 cases, the 6th Circuit decided it "must rely on established canons of statutory construction to interpret § 503(b)." *Id.*

A. Petitioner's Construction Would Violate the Presumption Against Surplusage

A "cardinal rule" of statutory interpretation is that courts should, whenever possible "give effect to every clause and word of a statute." *Duncan v. Walker*, 533 U.S. 167, 168 (2001) (quoting *United States v. Menasche*, 348 U.S. 528, 538-39 (1955)). Following this logic, the Sixth Circuit found that section 503(b)(3)(D) accommodates administrative expenses in cases under chapter 7. They reasoned, "Congress deliberated inserted 'including' into the text of § 503(b) and expressly instructed, in § 102(3) that the term '[is] not limiting[.]'". *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 818 (6th Cir. 2015). Thus, the Sixth Circuit reasoned that finding 503(b)(3)(D) to be exclusive would violate the presumption against surplusage and so did not adopt that construction. *Id.*

To be sure, some courts have found that "including" may be non-superfluous and not apply to section 503(b)(3)(D). *See e.g.*, *Mosier v. Kupetz* (*In re Educ. and Software)*, No. CC–05–1067–MaMeP, 2005 WL 6960237 at *7 (BAP 9th Cir. 2005); *Connolly,* 802 F.3d at 821

(O'Malley, J., dissenting) ("Congress used "including" for the list of "actual, necessary costs and expenses of preserving the estate" in § 503(b)(1)(A), but conspicuously chose not to include similar language in § 503(b)(3)); *see also Duncan*, 533 U.S. at 168 ("Were Congress includes particular language in one section of a statute but omits it in another section of the same Act, it is generally presumed that Congress acts intentionally and purposely in the disparate inclusion or exclusion" (citing *Bates v. United States.*, 522 U.S. 23, 29-30 (1997))). These courts have focused on the fact that 503(b)(1)(A) repeats the word, ignoring its original usage in the introductory provision of § 503(b), and have determined that those statutes in which "including" is not repeated are not reached by it at all. *In re Educ. and Software*, 2005 WL 6960237 at *7; *Connolly*, 802 F.3d at 821 (O'Malley, J., dissenting).

However, as the Bankruptcy Court for the Central District of California found in *In re Maqsoudi*, 503(b) and its subsections constitute one coherent sentence. *In re Maqsoudi*, 566 B.R. 40, 44 (Bankr. C.D. Cal. 2017). Strung together, 11 U.S.C.A § 503(b)(3)(D) reads;

> "After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title."

11 U.S.C § 503(b)(3)(D) (2018). It would be illogical to require the grammatical irregularity of having "including" placed twice within the sentence for it to have any effect at all.

Furthermore, the Eleventh Circuit rejected this construction of § 503(b)(1)(A). *Ala. Surface Mining Comm'n v. N.P. Mining Co., Inc. (In re N.P. Min. Co., Inc.)*, 963 F.2d 1149, 1455 (11th Cir. 1992). Appellees argued that when § 503(b)(1)(A) was promulgated, Congress changed the provisional language from "including the actual, necessary costs" to "the actual,

necessary costs." *Id.* The Eleventh circuit held the shift had not meaningfully limited the statute, relying on 503(b)'s use of the word "including" in the introductory provision and finding that it still applied to the subdivision. *Id.* at 1455-56.

B. Allowing the "Specific to Govern the General" Would Render "Including" Permanently Meaningless

Courts that have not found in favor of chapter 7 administrative expenses have appealed to the canon of construction that the "specific governs the general." *Morales v. Trans World Airlines, Inc.*, 504 U.S. 374, 384 (1992). In *RadLAX*, this court reviewed the requirements for a chapter 11 plan to be considered "fair and equitable" as specified in 11 U.S.C. § 1129(b)(2)(A). *RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639 (2012). Subsection (ii) gave requirements when the plan included a sale. *Id.* at 643. The debtors in this case wished to proceed by sale, but did not meet subsection (ii)'s requirements. *Id.* at 644. Therefore, they attempted to justify their plan, including the sale, under the more general requirements of (iii). *Id.* at 643. The Court rejected this attempt, requiring that parties must meet the more specific statute. *Id.* at 645. The *RadLAX* Court further explained that this canon eliminates the more general provision, thus maintaining the presumption against superfluity. *Id.*

On its face, the *RadLAX* provisions seem quite similar to those in § 503(b) and, this logic appears to be a compelling response to the superfluity arguments raised above. Indeed, the only court to recognize the non-exclusivity of § 503(b) but deny chapter 7 administrative expenses did so for this reason. *In re Engler*, 500 B.R. 163, 174 (Bankr. M.D. Fla. 2013). However, this case is distinguishable from *RadLAX* in two important ways. First, the statute in *RadLAX* did not use the word "include" or any variant of the term, making the conflict between the two provisions fundamentally different in this case. *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 818 (6th Cir. 2015). Furthermore, unlike in *RadLAX*, where the superfluity to be

avoided was only created by the specific facts of that case, allowing § 503(b)(3)(D) to always govern § 503(b) would judicially codify a permanent superfluity between the two statutes. While the *RadLAX* Court's decision sought to prevent a specific manipulation of the statute, applying the requirement that the specific govern the general to this case would permanently neuter Congress' intentional use of the word "include." Neither the *Engler* court nor the cases on which it bases its conclusion considered the consequence of a persistent superfluity. *See Engler*, 500 B.R. at 174; *see also In re Beale*, 358 B.R. 744, 747-48 (Bankr. N.D. Ill. 2006); *In re Elder*, 321 B.R. 820, 828-29 (Bankr. E.D. Va. 2005). Such a holding poses a far greater risk of judicial interference with Congress' will. Indeed, the presumption against surplusage is strongest when "an interpretation would render superfluous another part of the same statutory scheme." *Marx v. Gen.l Revenue Corp.*, 568 U.S. 371, 371 (2013). Because the statutory construction of "including", 11 U.S.C. § 102(3), and § 503(b)(3)(D) are both in the Bankruptcy Code, the presumption against surplusage between these provisions should be quite strong. *Id.* Allowing the canon that the specific governs the general to create a permanent superfluity would inappropriately violate this strong presumption.

C. *Expressio Unius Est Exclusio Alterius* Is Not Applicable

Finally, courts that have not allowed for administrative expenses for chapter 7 cases have applied the canon of *expressio unius est exclusion alterius*. *Mosier v. Kupetz* (*In re Educ. and Software)*, No. CC–05–1067–MaMeP, 2005 WL 6960237 at *7 (BAP 9th Cir. 2005). This canon of construction provides that when a statute lists a series of things, that list is assumed to be exclusive. *Id.* First, as the court in *In re Educ. and Software* explicitly noted, this canon does not apply to a list that uses the word "including." *Id.* Second, courts have consistently held that *expressio unius* does not apply if there are "contrary indications that adopting a particular rule or

statute was probably not meant to signal any exclusion." *United States v. Vonn*, 535 U.S. 55, 65 (2002). In *Echazabal*, this Court stated that the canon is only appropriate when the comparison between what is included in the list and what is excluded in the list creates a sufficiently "strong contrast" that it enforces the inference of exclusivity. *Chevron U.S.A., Inc. v. Echazabal*, 536 U.S. 73, 81 (2002). Given the rules of construction of the Bankruptcy Code, such an inference is not possible. *See* 11 U.S.C. § 102(3).

However, the presumption against surplusage would seem to counsel against listing the chapters at all. In *Hibbs v. Winn*, this Court considered whether the Tax Injunction Act, which prevented the federal courts from restraining the "assessment, levy, or collection of a tax under State law" barred a suit challenging Arizona's tax credits for private schools. *Hibbs v. Winn*, 542 U.S. 88 (2004). The Court refused to expand the meaning of "assessment," such that it swallowed "levy" and "collection." *Id.* Such an interpretation would eliminate the need to list the other items. *Id.* Therefore, it must be admitted that both constructions are vulnerable to a charge that they violate the presumption against surplusage. However, construing § 503(b)(3)(D) as a non-exclusive list is more consistent with the Bankruptcy Code, is supported by the legislative history and intent, and affirms the bankruptcy courts' discretion to make decisions that promote equity.

D. A Broad Construction of Section 503(b)(3)(D) is Consistent with the Other Provisions 503(b)

The reading urged by respondents is more consistent with the other provisions of 503(b) and the Bankruptcy Code as a whole. The Whole Act Rule provides that words should be used consistently within an act. *Gustafson v. Alloyed Co.*, 513 U.S. 561, 568 (1995). As described above, the Bankruptcy Code clearly states Congress' intention that "including" be read non-exclusively. 11 U.S.C. § 102(3). Moreover, the Courts have a long history of expanding the

provisions of 503(b). Beginning in *Reading Co. v. Brown*, this court determined that under § 64a(1) of the Bankruptcy Act – the predecessor of 503(b) – "the actual and necessary costs and expenses of preserving the estate" could include tort payments based on the receiver's negligence even though they do not, on their face, benefit the estate. *Reading Co. v. Brown*, 391 U.S. 471, 485 (1968). To reach this decision the Court reasoned by analogy and relied on principles of justice, rather than a clear statutory grant of authority for the expansion. *Id.* at 475, 484.

The statute at issue in *Reading* has expanded itself, and its reasoning has been applied to other sections of 503(b). *Reading*, originally a case that only applied to chapter 11 filings, has been stretched to apply to chapter 7 proceedings as well. *Mosier v. Kupetz* (*In re Educ. and Software)*, No. CC–05–1067–MaMeP, 2005 WL 6960237 at *7 (BAP 9th Cir. 2005) (citing *In re Met-L-Wood Corp.*, 115 B.R. 133, 136 (N.D. Ill. 1990). In *In re Met-L-Wood Corp.*, the reasoning was expanded to chapter 7 cases to accommodate fundamental fairness. *In re Met-L-Wood Corp.*, 115 B.R. at 136.

Furthermore, the *Reading* decision has been used to expand the types of monies that can be collected under § 503(b)(1)(B). That statute provides that administrative expenses should be allowed for "any tax." Courts have now expanded this text to include the interest that accrues on such taxes. *United States v. Flo-Lizer, Inc. (In re Flo-Lizer)*, 916 F.2d 363, 364 (6th Cir. 1990); *United States v. Ledlin (In re Mark Anthony Construction, Inc.)*, 886 F.2d 1101, 1101 (9th Cir. 1989). In *Flo-Lizer*, in which the interest accrued post-petition in a chapter 11 case, the court held that the fact that the interest is not explicitly listed in the statute does not mean it can't be considered an administrative expense. 916 F.2d at 365. Furthermore, in *Mark Anthony Construction, Inc.,* the 9th Circuit applied this same reasoning to taxes that began to accrue post-

petition under chapter 11 and continued to accrue after the case was converted to chapter 7. 886 F.2d at 1102.

Reading and its progeny show that the meanings and limitations of the other provisions in 503(b) may be stretched and crafted to accommodate fundamental fairness and pre-Code judicial holdings when applicable. Thus, it would be highly incongruent with the rest of its section for the Court to take such a rigid approach to interpreting § 503(b)(3)(D). The sections at issue in *Flo-Lizer* and *Mark Anthony Construction, Inc.* similarly do not contain the word "including" in the specific subdivision and do not seem to contemplate other scenarios than those listed in the text. 11 U.S.C. § 503(b)(1)(B). Nonetheless, it is common practice for Courts to read this provision with flexibility, and this Court should take the same approach to reading 503(b)(3)(D).

THE LEGISLATIVE HISTORY AND LEGISLATIVE INTENT SUPPORT RESPONDENT'S CONSTRUCTION

A. The Legislative History Does Not Suggest an Intent to Exclude Chapter 7 Cases

This Court has consistently held that if the text is clear, it need not and should not consider the accompanying legislative history. *See State Farm Fire & Casualty Co. v. United States ex rel. Rigsby*, 137 S. Ct. 436, 444 (2016). However, to the extent legislative history has been identified, it does not foreclose the inclusion of substantial contributions to chapter 7 estates. In *Lebron*, although the court did not decide to allow administrative expenses for chapter 7, it noted that § 503(b)(3)(D) was only intended to change the pre-existing law by making it clear that substantial contributions did not need to result in the *confirmation* of a chapter 11 plan to be deemed administrative expenses. *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 945 (3d Cir. 1994). Such a shift, to the extent it shows anything, shows that Congress intended to expand the circumstances under which substantial contributions by creditors were rewarded. This supports, rather than hinders, respondent's construction.

The dissenting opinion in *Connolly* found it significant that the first bill introduced that became 503(b)(3)(D) granted administrative expenses in chapter 9 and 11 cases. *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 821-22 (6th Cir. 2015) (O'Malley, J., dissenting). This language was then adopted into every subsequent iteration of the statute. *Id.* However, this gives us no further information than the current statute. That the statute has been constructed this way for a while does nothing to explain *why* the statute is constructed this way. Moreover, there is some support in the legislative history that Chapters 9 & 11 were singled out because the statute was aimed at a problem that was persistent in cases under those chapters, not as a means of preventing claims under chapter 7 cases. *In re Maust Trans., Inc.*, 589 B.R. 887, 898 (Bankr. W.D. Wash. 2018). The Sixth Circuit recognized this writing "In both Chapters 9 and 11, as a matter of course, a creditor will spend its own time and resources to benefit the estate; however, in all but the most atypical Chapter 7 case (such as the instant case), the U.S. trustee fulfills this role." *Connolly*, 802 F.3d at 817.

B. Granting Chapter 7 Expenses Does Not Disturb Congress' Intent for the Bankruptcy Code

That substantial contributions by creditors are less common in chapter 7 cases does not require courts to reject claims for reimbursement. Prior to filing, the Bankruptcy Code does create different incentive structures for *debtors*. For example, under 11 U.S.C. § 707(b)(1), Congress gave the court discretion to dismiss a case filed under chapter 7 where relief would be an abuse of discretion. Such abuse is presumed if the debtor has sufficient disposable income to make payments under a chapter 13 plan. 11 U.S.C. § 707(b)(2)(a)(i) (2016).

However, particularly once a chapter 7 case has been filed, the incentive structure for *creditors* is the same. Cases under either chapter will want to encourage creditors to engage in the case, because successful engagement can lead to substantial gains to the estate. This benefits

all creditors, as was true in this case. *See In re Javed*, 592 B.R. 615, 621 (Bankr. D. Md. 2018). Courts that have denied administrative expenses for chapter 7 filings have placed significant weight on the role of the trustee, finding that there is no need to incentivize creditors to contribute once an independent trustee has been appointed and have strongly cautioned against the "race to the courthouse". *See generally, In re Maust Transport, Inc.*, 589 B.R. 887, 889 (Bankr. W.D. Wash. 2018) (granting administrative expenses for a substantial contribution to a chapter 7 case while acknowledging that "in cases where there is a trustee, the allowance of such claims will be rare and . . . should be limited to avoid overlap and duplication of efforts with those of the trustee."); *see also* 592 B.R. at 621.

However, that the circumstances warranting reimbursement will be rarer does not naturally imply that reimbursement should thus be barred. *Cf Hyundai Translead, Inc. v. Jackson Truck and Trailer Repair, Inc. (In re Trailer Source, Inc.)*, 555 F.3d 231, 243 (6th Cir. 2009) ("The JT & T parties submit that derivative standing is not necessary in the Chapter 7 context because Chapter 7 proceedings always have an independent trustee who is not subject to such conflicts of interest. We reject this attempt to limit derivative standing to Chapter 11 proceedings."). Indeed, those cases that actually consider the relationship between chapter 7 creditors and trustees, have generally granted administrative expenses when the circumstances warrant it. In *Javed*, the court granted administrative expenses for creditor actions that are necessary and aid, rather than thwart, the bankrupt estate. 592 B.R. at 623-24. Creditors who identified fraudulent assets, obtained a pre-petition judgment, and took action while the trustee got acclimated to the case were granted administrative expenses. *Id.* at 616-18. Likewise, in *In re Maust*, the court awarded administrative expenses in a chapter 7 case to a creditor who

investigated fraudulent transfers after the trustee was not financially able to do so, leading to a settlement that created the majority of the estate. 589 B.R. at 899.

Conversely, courts that have exclusively linked substantial contributions with reorganization efforts have not considered the circumstances in which a chapter 7 creditor may still substantially contribute to the estate and have provided no basis for this exclusive link. *See Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 943 (3d Cir. 1994) ("The services engaged by creditors, creditor committees and other parties interested in a reorganization . . . are reimbursable if, but only if, the services "directly and materially contributed" to the reorganization.); *Haskins v. United States (In re Lister)*, 846 F.2d 55, 57-58 (10th Cir. 1988) (While an award of compensation does not necessarily depend on the confirmation of a proposed plan of reorganization, only reorganization efforts directly benefiting the estate will be compensated."); *Mosier v. Kupetz* (*In re Educ. and Software)*, No. CC–05–1067–MaMeP, 2005 WL 6960237 at *5 (BAP 9th Cir. 2005) ("In addition, the legislative history of § 503(b)(3)(D) indicates that it was meant to reimburse those efforts that directly benefitted the reorganization process." (citing *Lebron*, 27 F.3d at 944-45))).

BANKRUPTCY COURTS SHOULD BE ABLE TO USE EQUITABLE PRINCIPLES TO DETERMINE § 503(B)(3)(D) CLAIMS

A. Courts May Rely on Equitable Principles When Deciding Bankruptcy Cases

The bankruptcy courts fill a unique place in the American judicial system as the country's only remaining pure equity courts. Given this history, considerations of bankruptcy law must give significant weight to equitable principles. *See Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 814 (6th Cir. 2015) (finding the principle bankruptcy court decisions should begin with is that "equitable principles govern the exercise of bankruptcy jurisdiction."). Although these principles must be exercised consistently with the actual text of

the Bankruptcy Code, *Mosier v. Kupetz* (*In re Educ. and Software)*, No. CC–05–1067–MaMeP, 2005 WL 6960237 at *8 (BAP 9th Cir. 2005), within those boundaries they are "unimpeachable." 802 F.3d at 814. When applying equitable principles, the courts have shied away from rigid rules and talismanic phrases. Instead, decisions relying on principles of equity have typically been highly fact specific endeavors. *In re Maust Transport, Inc.*, 589 B.R. 887, 899 (Bankr. W.D. Wash. 2018) ("If the particular facts of a case warrant reimbursement, the court should have the ability to fashion a remedy that will foster rather than hinder such actions for the benefit of the estate."); *Bank of Marin v. England*, 395 U.S. 99, 103 (1966) ("Yet we don't read these statutory words with the ease of a computer. There is an overriding consideration that equitable principles govern the exercise of bankruptcy jurisdiction.").

B. Equitable Principles Support Awarding Administrative Expenses in Extraordinary Circumstances

Respondent does not ask that this Court create a strong, bright-line rule that all types of contributions in the chapter 7 context must be awarded. Doing so would clearly abuse equitable principles and would run counter to 503(b)(3)(D)'s objective of "keeping fees and administrative expenses at a minimum so as to preserve as much of the estate as possible for the creditors." *Otte v. United States*, 419 U.S. 43, 53 (1974). Rather, respondent merely asks that this court recognize that, under some circumstances, contributions to chapter 7 estates can be so substantial as to merit reimbursement and find that respondent falls into such a category. This is in keeping with the practice of those courts that have awarded administrative expenses under chapter 7. As described above, situations in which creditors funded investigations that the trustee was unable to finance or who dedicated themselves to the case before the trustee was appointed have warranted reimbursement. *Hyundai Translead, Inc. v. Jackson Truck and Trailer Repair, Inc. (In re Trailer Source, Inc.)*, 555 F.3d 231, 243 (6th Cir. 2009); *In re Javed*, 592 B.R. 615, 621 (Bankr. D. Md.

2018). Courts have also recognized special circumstances when "but for" the creditors actions there would be no recovery. *In re Zedda*, 169 B.R. 605, 607 (Bankr. E.D. La. 1994).

Mr. Weinberg's actions should be considered among this group. Like the creditor in *Hyundai Translead*, Mr. Weinberg undertook his investigation just as the trustee was taking over the estate and before he had fully familiarized himself with the case. 555 F.3d at 243. Mr. Weinberg closely identified and alerted the trustee to significant fraudulent transfers and but for his actions it may not have been possible to retrieve them. He has benefited all creditors in the estate by his actions and thus such actions should be rewarded under the statute and under equitable principles.

CONCLUSION

For the reasons stated above, the judgment of the court of appeals should be affirmed.

Respectfully submitted.

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Counsel for Respondent

APPENDIX

11 U.S.C. § 102(3): "includes" and "including" are not limiting.

11 U.S.C. § 1129(b)(2)(A): For the purpose of this subsection, the condition that a plan be fair and equitable with respect to a class includes the following requirements:

(A) With respect to a class of secured claims, the plan provides--

(i)(I) that the holders of such claims retain the liens securing such claims, whether the property subject to such liens is retained by the debtor or transferred to another entity, to the extent of the allowed amount of such claims; and

(II) that each holder of a claim of such class receive on account of such claim deferred cash payments totaling at least the allowed amount of such claim, of a value, as of the effective date of the plan, of at least the value of such holder's interest in the estate's interest in such property;

(ii) for the sale, subject to section 363(k) of this title, of any property that is subject to the liens securing such claims, free and clear of such liens, with such liens to attach to the proceeds of such sale, and the treatment of such liens on proceeds under clause (i) or (iii) of this subparagraph; or

(iii) for the realization by such holders of the indubitable equivalent of such claims.

11 U.S.C. § 362(a)(3): Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate

11 U.S.C. § 362(k)(1): Except as provided in paragraph (2), an individual injured by any willful violation of a stay provided by this section shall recover actual damages, including costs and attorneys' fees, and, in appropriate circumstances, may recover punitive damages

11 U.S.C. § 363(e): Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

11 U.S.C. § 503(b): After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)(A) the actual, necessary costs and expenses of preserving the estate including--

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of

time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(B) any tax--

(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(ii) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

(D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

(2) compensation and reimbursement awarded under section 330(a) of this title;

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

(A) a creditor that files a petition under section 303 of this title;

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title

11 U.S.C. § 507(b): If the trustee, under section 362, 363, or 364 of this title, provides adequate protection of the interest of a holder of a claim secured by a lien on property of the debtor and if, notwithstanding such protection, such creditor has a claim allowable under subsection (a)(2) of this section arising from the stay of action against such property under section 362 of this title, from the use, sale, or lease of such property under section 363 of this title, or from the granting of a lien under section 364(d) of this title, then such creditor's claim under such subsection shall have priority over every other claim allowable under such subsection.

11 U.S.C. § 521(a)(6): The debtor shall—

…

in a case under chapter 7 of this title in which the debtor is an individual, not retain possession of personal property as to which a creditor has an allowed claim for the purchase price secured in whole or in part by an interest in such personal property unless the debtor, not later than 45 days after the first meeting of creditors under section 341(a), either-- (A) enters into an agreement

with the creditor pursuant to section 524(c) with respect to the claim secured by such property; or

(B) redeems such property from the security interest pursuant to section 722; and

11 U.S.C. § 542(a): Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

11 U.S.C. § 707(b)(2)(a)(i): In considering under paragraph (1) whether the granting of relief would be an abuse of the provisions of this chapter, the court shall presume abuse exists if the debtor's current monthly income reduced by the amounts determined under clauses (ii), (iii), and (iv), and multiplied by 60 is not less than the lesser of--

(I) 25 percent of the debtor's nonpriority unsecured claims in the case, or $7,7001, whichever is greater; or

(II) $12,850.